EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971 during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members, thru the Presiding Officer committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2018, the Municipality of Sto. Niño had a total of 339 personnel complement with 98 permanent, 11 elective, 2 co-terminus, 18 casual, 2 consultants and 208 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2018, with comparative figures for CY 2017 are as follows:

	2018	2017	Increase (Decrease)
Financial Position			
Total Assets	345,628,434.73	267,497,336.90	50,482,034.01
Total Liabilities	102,933,516.02	64,420,051.58	18,598,933.13
Total Government Equity	242,694,981.71	203,077,285.32	31,883,100.88
Financial Performance			
Total Income(Includes Subsidy	160,729,736.31	140,305,910.17	14,114,200.20
Total Expenses (Includes Total	120,955,926.93	107,991,364.60	8,711,746.57
Appropriations, Allotments and Obligations			
Total Appropriations – Current	143,382,611.80	126,507,435.97	16,875,175.83

Total Obligations - Current	122,272,530.88	119,746,079.14	2,526,451.74
Total Appropriations - Continuing	24,840,670.42	28,450,791.04	(3,610,120.62)
Total Obligations - Continuing	5,085,323.59	16,498,597.65	(11,413,274.06)

The Municipality received fund transfers from other agencies totaling P29,314,108.00 and there had been no transferred funds to barangays during CY 2018 with comparative figures for CY 2017, as follows:

	2018	2017	Increase (Decrease
Funds Received from:			
National Government Agencies	29,094,108.00	35,173,602.53	(6,079,494.53)
Local Government Units	220,000.00	1,000,000.00	(780,000.00)
Non-Government			
Total	**29,314,108.00**	**36,173,602.53**	**6,859,494.53**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2018 of Sto. Niño, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on May 29, 2019:

1. Delayed submission of year-end Financial Statements, schedules and accounts in violation of Section 70 of the Manual on the New Government Accounting System for Local Governments Units, Volume I, prevented the timely review thereof. Consequently, the significance and usefulness of the Financial Statements are lost.

   We recommended that the Municipal Accountant, Municipal Budget Officer and Municipal Treasurer observe strictly the provisions pertaining to the submission of financial reports and documents of the LGU. Furthermore, we recommended that the monthly pre-closing trial balance, supported by SAAOB for General and Special Education Funds, be submitted on time as prescribed under Section 70 of the NGAS Manual for LGUs, Volume I. Otherwise, we shall recommend for the imposition of the provision of Section 122 of PD 1445 on the suspension of payment of salaries of concerned officials.

2. Cash advances from Trust Fund for the College Educational Assistance Program amounting to P 1,562,000.00 granted in May 2018 remains unliquidated due to the non-distribution of the said assistance to its intended beneficiaries, which is contrary to Item 5.7 of the COA Circular No. 97-002 dated February 10, 1997, thus, hampering the attainment of the objectives of the said program.

We recommended the following to the Management:

(1) To assess the necessity to continue the implementation of the College Educational Assistance Program considering that the assistance pertains to the school year that was already completed:

(2) If Management believes that there is a need to continue the distribution of the educational assistance, to instruct the Disbursing Officer-Designate to immediately distribute the educational assistance to the intended beneficiaries;

(3) Otherwise, to require the Disbursing Officer-Designate to refund immediately the unliquidated cash advances to the Municipal Treasurer;

(4) For future improvement opportunities, to ensure the immediate implementation of educational assistance programs to provide the poor and/or incapable students to have equal access to quality education.

3. Disbursement vouchers amounting to P4,412,713.76 were not submitted to the Auditor concerned for audit contrary to Sections 39(1) and 39(3) of Presidential Decree No. 1445 and created doubts on the regularity and propriety of the payments made.

   We recommended that the Municipal Accountant strictly comply with the cited auditing and accounting laws, rules and regulations. We also required the submission of the disbursement vouchers and supporting documents to the Auditor within the prescribed period to avoid suspension/disallowance in audit.

4. Wages of Job Order personnel totaling to P13,982,795.00 could not be ascertained due to non-compliance with the rules and regulations in the employment and payment of salaries and wages of Job Orders under Section 77 of Republic Act (RA) 7160, the Civil Service Commission Resolution No. 02-1480 dated November 12, 2002, COA Circular No. 2012-001 dated June 14, 2012 and Section 7.0 of CSC-COA-DBM Joint Circular No. 1 series of 2017 dated June 15, 2017.

   We recommended that the Management:

   1. Direct the Human Resource Management Office and the Municipal Accountant to strictly ensure that all payment for Job Orders be fully substantiated by the following requirements:

      a. Copy of Service Contract;

      b. Certification by the Local Chief Executive and Personnel Officer that the activities undertaken cannot be provided by a regular or permanent employee;

c. Resolution passed by the Legislative Body pursuant to Section 77 of R.A. 7160, giving proof of judicious consideration that the same are necessary, legal and proper; and

2. Adhere strictly with the regulation set forth under COA Circular No. 2012-001 dated June 14, 2012 on the payment of wages/salaries and other expenses on the employment of JO personnel.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2018 is summarized below.

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	5,540,377.58	-	-	5,540,377.58	0%
Disallowances	3,893,556.52	-	-	3,893,556.52	0%
Charges	-	-	-	-	0%
Total	**9,433,934.10**	-	-	**9,433,934.10**	0%

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 29 audit recommendations embodied in the previous years' Annual Audit Reports, five (5) were fully implemented, two (2) was partially implemented and 22 were not implemented.